Vilas Transcore FY25 Results: PAT Up 48%, Targets ₹ 1,000 Cr Revenue by FY27

Guides 60%+ revenue CAGR by FY27, led by capacity, improving product mix, expor margin expansion, and potential valuation re-rating from current premium levels.

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1. Transformer Lamination, Toroidal Cores, and CRGO Slitted Coils.

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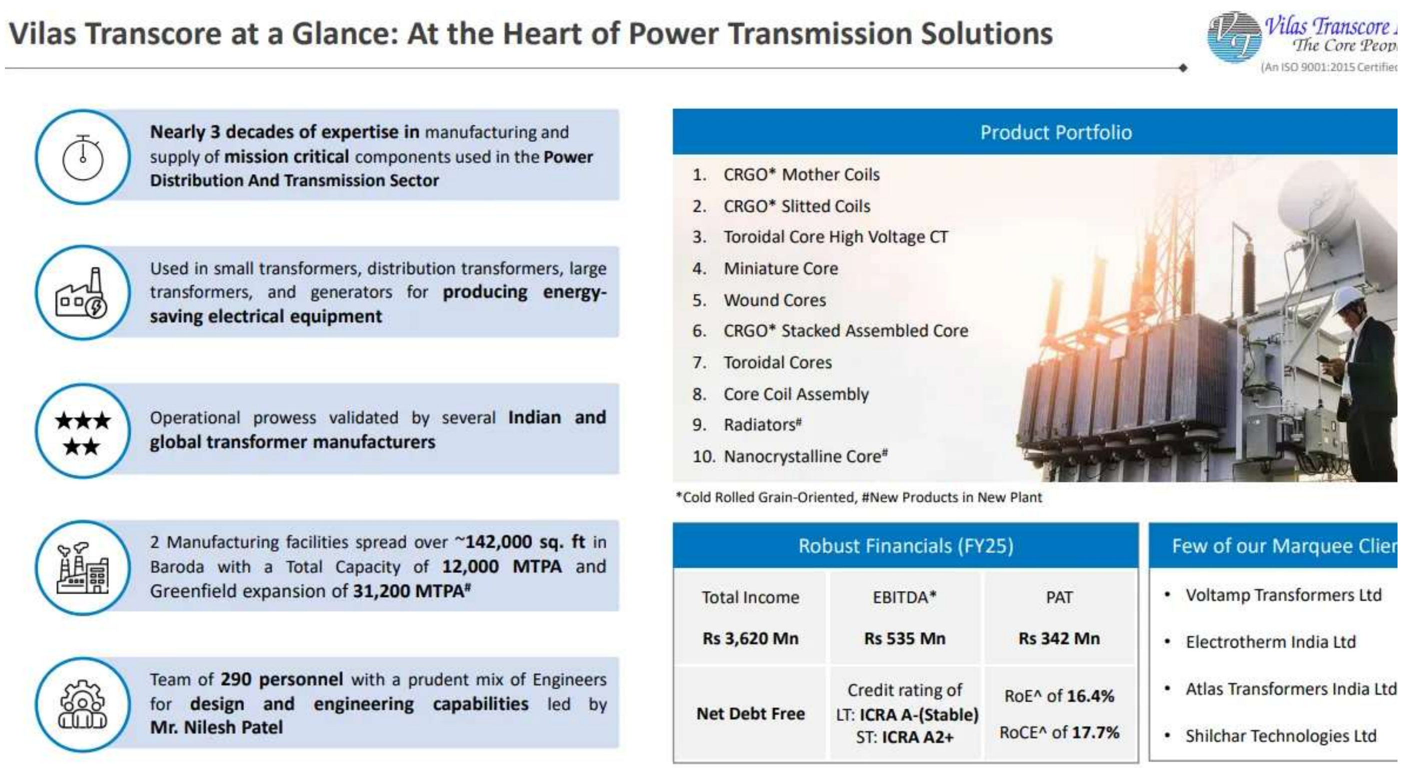

2. FY21-25: PAT CAGR 60% & Revenue CAGR 28%

Metric (₹ Cr)	FY21	FY22	FY23	FY24	F
Revenue	135	235	283	314	3
EBITDA	11	29	31	35	5
EBITDA Margin (%)	8.1%	12.3%	11.1%	11.0%	1
PAT	5.2	17.9	20.2	23.1	3
PAT Margin (%)	3.9%	7.6%	7.1%	7.3%	9

2.1 Business Evolution: FY21–FY25

- **Capacity**: From 12,000 MTPA (fully utilized) to 36,000 MTPA commissioned in F

- **Product Mix**: Moved beyond CRGO laminations to radiators & nanocrystalline cores
- **Market Reach**: Domestic-focused to early-stage exports (Gulf, EU, Canada)
- **Customer Base**: From core OEMs (Voltamp, Electrotherm) to wider infra & ener segments
- **Capital Structure**: Net-debt free, IPO-funded expansion in FY24–25
- **Execution**: Cost control, product diversification, and operating leverage visible
- **FY26 Ready**: Infrastructure in place to scale to ₹ 1,000 Cr revenue

3. H2-25: PAT up 68% & Revenue up 29% YoY

PAT up 39% & Revenue up 20% sequentially

Metric (₹ Cr)	H2 FY24	H1 FY25	H2 FY25	YoY (%)	Sequenti
Revenue	₹150.5	₹162.4	₹194.6	+29.3%	+19.8%
EBITDA	₹18.0	₹22.9	₹30.6	+70.0%	+33.6%
EBITDA Margin (%)	12.0%	13.7%	15.7%	+370 bps	+200 bps
PAT	₹11.8	₹14.3	₹19.8	+67.8%	+38.5%
PAT Margin (%)	7.8%	8.6%	10.2%	+240 bps	+160 bps

- **Sequential acceleration** across all key metrics signals strong operating leverag
- **YoY margin expansion** driven by improved cost management, CRGO availabili and improved realization.
- H2 FY25 marks **highest-ever EBITDA & PAT**, supporting a robust FY26 growth outlook.

4. FY-25: PAT up 48% & Revenue up 15%

Metric (₹ Cr)	FY24	FY25	YoY ('
Revenue	₹314	₹362	**+15.3**
EBITDA	₹34.6	₹53.5	**+54.6**
EBITDA Margin (%)	11.0%	14.8%	**+380**
PAT	₹23.1	₹34.2	**+48.1**
PAT Margin (%)	7.3%	9.4%	**+210**

- **Strong top-line growth**: driven by full utilization and higher volume.
- **Operating leverage**: better scale, stable CRGO prices, and improved mix.
- **Robust profitability**: disciplined cost control and lower finance cost (company remains net-debt free).
- **Margins at peak levels**: Highest EBITDA and PAT margins in company history, laying foundation for FY26 ramp-up.

5. Business Metrics: Strengthening Return Profi

Margin expansion & capital efficiency amid capacity constraints

Metric	FY21	FY22	FY23	FY24
ROE (%)	6.5	19.6	18.3	17.5
ROCE (%)	9.2	24.7	22.6	22.0

- **FY22–FY23 Peak Efficiency**: Return ratios surged post-COVID as full capacity utilization, strong transformer sector demand, and pricing discipline led to high asset productivity and strong operating leverage.
- **FY24–25 Investment Phase**: Returns have normalized due to IPO-led equity infusion and partial deployment of new capacity (only 50% utilized in FY25). Despite this, return ratios remain resilient, supported by improving margins and net debt-free balance sheet.
- **Outlook**: ROCE is expected to rebound once the new 36,000 MTPA capacity is f utilized by FY27, with incremental contribution from high-margin products like nanocrystalline cores and radiators.

6. Outlook: 60%+ Growth in FY26 with 200 bps Margin Expansion

Driven by new capacity, product ramp-up, and demand tailwinds

6.1 FY25 Expectations vs Performance — Vilas Transcore Ltd

✅ Hits in FY25

- **Robust Revenue Execution**: Revenue grew 15% YoY despite capacity constrain with full utilization (12,069 MT) of legacy plant and no contribution yet from the new facility.

- **Margin Expansion**: EBITDA margin improved by 380 bps to 14.8%, driven by stable CRGO prices, disciplined pricing, and improved product mix.
- **Strong Balance Sheet**: Net debt-free status maintained, with ₹112 Cr cash on books and healthy ROE (16.4%) despite IPO-led equity base expansion.
- **New Capacity Commissioned**: 36,000 MTPA facility (24k lamination + 7.2k radiator + nano cores) entered trial stage in March 2025; commercial productio begins Q1 FY26.
- **Product Diversification**: Radiators and nanocrystalline cores lined up to scale FY26 — both offering significantly higher margins (20–25%).
- **Customer Base Expansion**: Added new marquee clients across transformer an renewable segments; export base widened to Gulf, Europe, and Canada.

❌ Misses in FY25

- **Capacity Ramp Delay**: Commercial operations for new plant delayed from Jan July due to floods and statutory approvals, capping topline potential.
- **Working Capital Build-Up**: Inventory and receivables rose ahead of capacity scale-up; short-term borrowings increased temporarily to manage CRGO stocki
- **Return Ratio Dip**: ROCE dropped to 17.7% from 22.0% YoY due to equity base expansion and underutilized new assets.
- **Export Contribution Still Modest**: Exports remained at ~3–4% of revenue; FY2 to see higher traction once new product lines stabilize.

6.2 Outlook for FY26 and Beyond

Aggressive scale-up backed by strong demand visibility and capacity headroom

Year	Revenue (₹ Cr)	Growth (%)	EBITDA Margin	PAT Ma
FY25	362	—	14.8%	9.4%
FY26	600 (guided)	+66%	16.5–17%	~11%
FY27	1,000 (guided)	+66.7%	16.5–17%	~11–12

FY26–FY27: Transformational Growth Phase

> And looking to the present market situation and market demand, we don't see b challenge here. I said next year, we will achieve a INR600 crores of turnover. And financial for year '27, INR1,000 crores.

- **FY26 Guidance**: Management reiterated confidence in achieving **₹600 Cr reve** (~66% YoY growth) driven by:
  - Ramp-up of the new 36,000 MTPA capacity (CRGO laminations + radiators nanocrystalline cores)
  - Full utilization of the legacy 12,000 MTPA capacity
  - Margin expansion through high-value product mix
- **FY27 Ambition Raised**:
  Management has now **publicly guided for ₹1,000 Cr turnover** in FY27 — a **66.7% YoY jump** over FY26, indicating:
  - Strong demand visibility across transformer and renewables sectors
  - High confidence in operational readiness and supply chain execution
  - Gradual ramp-up in exports and radiator/nano core contributions

Profitability Levers Intact

- EBITDA Margin: Expected to stay **in the 16.5–17% range** as higher-margin products scale
- PAT Margin: Management expects **11–12% range**, aided by operating leverage and limited capex post-FY26
- ROCE: Forecast to rebound **to 20%+** as the asset base sweats over FY26–27

Structural Growth Beyond FY27

- Targeting leadership in the **transformer ancillary ecosystem**, offering CRGO, wound cores, radiators, nano/amorphous cores
- Export revenue to rise from current ~3% to **15–20% of revenue** by FY28
- With full capacity likely utilized by FY28, company may explore **brownfield expansion or backward integration**

7. Valuation Analysis — Vilas Transcore Ltd

7.1 Valuation Snapshot

Metric	FY25 (Actual)	FY26E	FY27E
Revenue	₹362 Cr	₹600 Cr	₹1,000 Cr
PAT	₹34.2 Cr	₹66 Cr (11.0% PAT margin)	₹115 Cr (11.5% PAT margir
EPS	₹14.58	₹28.2	₹49.2
P/E @ CMP	41.6×	25.5×	18.2×
P/Sales	3.9×	2.2×	1.3×
EV/EBITDA	**24.7×** (₹53.5 Cr)	**13.4×** (₹99 Cr @ ₹1,324 Cr EV)	**8.0×** (₹165 Cr @ ₹1,324 Cr

- **Assumptions:**
  - **EBITDA Margin**: 16.5% (steady across FY26–27, based on margin guidance
  - **PAT Margin**: FY26: 11.0% & FY27: 11.5% (modest expansion from product r and scale)
- Valuations move from **expensive (FY25) → fair (FY26) → undervalued (FY27**
- Earnings, not re-rating, will drive returns going forward.
- Execution of ₹1,000 Cr/₹115 Cr PAT guidance in FY27 **justifies further upside**.

> If management meets its ₹1,000 Cr revenue and ₹115 Cr PAT target in FY27, curr valuations may **understate the true potential**.

7.2 What's in the Price?

The current valuation (~42× P/E TTM, ~25× forward P/E) reflects **high investor confidence** in FY26–27 execution.

- **PAT CAGR of ~48% over FY25–27** and **20%+ ROCE by FY27** are priced in.
- Forward EV/EBITDA of 13.4× (FY26) and 8.0× (FY27) implies a valuation premiu to transformer ancillary peers.

Implied in valuation:

- Execution of ₹600 Cr in FY26 and ₹1,000 Cr in FY27
- Ramp-up of radiator + nanocrystalline products
- Margins stabilizing at 16.5–17% with high product mix contribution
- Working capital normalization by FY27

> **Full execution is priced in. Any slip in margin, mix, or volume may trigger a de-rating.**

7.3 What's *Not* in the Price?

Upside triggers remain **underappreciated**:

- **Exports**: FY27 guidance doesn't bake in full potential of exports (~15–20% revenue potential by FY28+)
- **Premium Product Upside**: Faster-than-expected scale-up of radiators/nano cc could boost margins above 17%
- **Amorphous/Nano Core Visibility**: New client wins or import substitution coul expand addressable market
- **Brownfield Expansion Optionality**: No expansion priced in beyond 36,000 MT possible capacity trigger post-FY27
- **Valuation Re-Rating**: Could move to 28–30× P/E or sub-8× EV/EBITDA if ROCE sustains >24% by FY27

7.4 Risks and What to Monitor

Execution delays or external shocks could derail valuation confidence.

- **Volume Growth:** Deliver > 27k tons sales in FY26
- **Product Mix**: >30% revenue from radiators + nano cores by FY27
- **UPT/Ramp-Up:** 2+ new radiator clients or nano tech wins by FY27
- **Cost Discipline**: Maintain 20%+ PAT CAGR through FY27
- **CRGO Price Volatility:** Spot price spikes could compress margin
- **Working Capital:** Inventory/receivable absorption by FY26
- **Regulatory Risk:** Any changes to transformer input import norms

> Vilas offers **limited room for execution error** — but also **strong asymmetric upside** if exports, premium products, and volume ramp materialize faster than modeled.

8. Implications for Investors

8.1 Bull, Base & Bear Scenarios — Vilas Transcore Ltd

Scenario	Key Business Developments	Implications
🟢 Bull Case *(Probability: Moderate)*	- New plant (36,000 MTPA) reaches **>85% utilization by FY27** - **Radiator + nano core** contribution exceeds 30% of sales - Export share crosses 15% with strong Gulf & EU traction - Backward integration or new product verticals initiated	- Business scales faster than modeled - Mix-led margin expansion above 17.5% - Potential for **re-rating or new capex cycle**
⚪ Base Case *(Probability: High)*	- New capacity stabilizes with **70–75% utilization** - Radiator/nano contribution **20–25%** of revenue - Export share 7–10%, led by existing client base - No major regulatory/market shocks	- Smooth execution of guided ₹1,000 Cr revenue b - Margins stable at 16.5–17% - Steady cash flows & ROCE recovery
🔴 Bear Case *(Probability: Low)*	- **Ramp-up delayed** due to technical/logistics issues - Radiator/nano cores scale slower; contribution <15% by FY27 - Export orders face geopolitical or pricing headwinds - Inventory build-up due to demand-mismatch	- FY27 revenue limited to ₹850–900 Cr - Working capital stress and operating leverage m - Delayed margin expansion

- **Base Case assumes steady execution** of the guided plan — high confidence.
- **Bull Case unlocks optionality** in exports, premium mix, and faster ramp-up.
- **Bear Case** driven by **operational delays or external shocks**, not structural weakness.

8.2 Is There Any Margin of Safety?

✅ Where There *Is* Margin of Safety

- **Business Quality & Model**

- Long customer relationships with transformer OEMs & utilities
- Product mix shift (radiators, nano) adds margin levers
- Proven cost control: FY25 EBITDA margin already 14.8%

- **Capital Structure**
  - **Net cash positive**: ₹100+ Cr surplus in FY25
  - IPO-funded expansion; no dilution or leverage risk ahead
  - Capex behind, asset sweating begins FY26 onward
- **Execution Levers Not Yet Priced In**
  - Radiator/nano core contribution still minimal in FY25
  - Faster-than-modeled scale-up could take FY27 revenue to ₹1,100+ Cr
  - Export ramp and margin kicker (20–25% from radiators) still optionality
- **Valuation vs Future Earnings**
  - FY27 EPS of ₹49.2 → at CMP, P/E ~18× = **2.5+ years of earnings locked ir**
  - EV/EBITDA drops to **8.0× by FY27** — <12× sweet spot for high-quality industrials

❌ Where There Isn't Much Margin of Safety

- **Valuation Is Full**
  - Current P/E of 41.6× (TTM) and ~25× forward reflects high expectations
  - Execution priced in; little room for error or delay
  - EV/EBITDA of 13.4× (FY26E) implies mid-cycle valuation for a business still scaling
- **Execution & Market Risks**
  - Radiator mix may ramp slower than expected
  - Export volumes or CRGO pricing may impact FY26 cash flows

    - Working capital absorption risk remains (inventory + receivables ↑)

> FY25–26 valuation **leaves little room for disappointment**, but also **rewards an upside surprise** in margins, exports, or faster ramp.

If Vilas delivers ₹1,000 Cr / ₹115 Cr PAT in FY27, current prices imply **limited downs and optional upside** — provided execution holds.

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Vandit Dharamshi 6 Jul 2025

Liked by MoneyMuscle

Hi thank you for the write up! Just wanted to check on where has the management guided for 11
PAT margin?

Thank you!!

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